

Regulatory & Finance

Control Room

A free, independent reference covering RBI/IRDAI governance across deposits, lending and distribution — plus a practical tax, eligibility, and loan/insurance decision layer, with a Gen AI overlay showing how each control could be monitored in production. Built to be forked, corrected, and reused by anyone navigating Indian BFSI rules.

Edition – June 2026

Scope – India, RBI & IRDAI

Author – Akshat Kapoor

Compiled from RBI Master Directions,
IRDAI circulars, Income Tax
Department guidance, and regulatory
press coverage current to 28 Jun
2026.

* This dashboard was researched and compiled with AI assistance. Figures, slabs, and rules may contain errors, omissions, or drift from the latest circular – **please verify independently against rbi.org.in, irdai.gov.in, and incometax.gov.in** before relying on any number here for an actual financial decision. This is a knowledge/portfolio project, not financial advice.

🔓 Open source & free to use. If you spot an outdated figure or a rule that's changed, please open an issue or PR on the repo — this is meant to stay accurate through community correction, not just one person's research pass.

7 regulatory domains 2 tax regimes modelled 3 loan types × city tier eligibility

Gen AI overlay – toggle to view applied use cases

01 · Regulatory Domains

02 · Tax & Benefits

03 · Loan Eligibility by City

Jan 1, 2026

FORECLOSURE BAN — FLOATING-RATE
LOANS TAKES EFFECT

Apr 1, 2026

DEPOSIT INSURANCE MOVES TO RISK-
BASED PREMIUMS

Jul 1, 2026

ONE-CLICK INSURANCE / CARD SALE BAN
(DRAFT → FINAL)

₹1,000 cr

NBFC BASE LAYER ASSET CEILING UNDER
SBR

REGULATORY DOMAINS

Control areas, by product line

FILTER

All Domains

Insurance

Banks

Fixed Deposits

NBFC / Non-NBFC

Home Loan

Car Loan

Two-Wheeler Loan

Gen AI overlay



Insurance Distribution

RBI + IRDAI

- Draft norms target effective date: 1 Jul 2026

- **One-click sales banned** — banks can no longer sell insurance, credit cards, or other third-party products via single-click approval; separate, explicit consent is now required.
- **Suitability checks mandated** — RBI's Feb 2026 statement proposes mandatory suitability assessment before any third-party product (insurance, MF, PMS) is pushed at a branch.
- **Advisory/distribution split** — comprehensive RE advertising & sales directions aim to separate the advisory role from the distribution/commission role.
- **NBFCs cleared to distribute insurance** — no longer need RBI's prior nod, only IRDAI authorisation, under the Responsible Business Conduct (2nd Amendment) Directions,

2026 (eff. 1 Jan 2027).

- **Bank branding restricted** — a bank's name/logo cannot appear on a third-party product document; referral ≠ sale.
- **Bi-annual compliance reporting** — REs must file a mis-selling/compliance report every six months.

Sources: RBI Feb 2026 Statement on Developmental & Regulatory Policies; Responsible Business Conduct (2nd Amendment) Directions, 2026; draft RE advertising/sales norms (consultation closed 4 Mar 2026).

Bank Types & Oversight

RBI

- Deposit insurance reform effective: 1 Apr 2026

- **Risk-based deposit insurance** — replaces the flat 12 paise/₹100 DICGC premium (in place since 1962) with a model tied to bank health.
- **Scheduled commercial banks** assessed via supervisory ratings, CAMELS scores, and estimated loss to the insurance fund.
- **RRBs & cooperative banks** assessed on available data and risk exposure — a lighter-touch model given data constraints.
- **Vintage incentive** — clean-record banks get a premium discount rising ~1%/year up to 25% over time.
- **Local Area Banks & Payments Banks** excluded from the risk model; they continue on the flat 12-paise rate.
- **Recovery-agent code unification** — RBI is harmonising separate bank/NBFC/HFC recovery norms into one borrower-treatment standard.

Sources: RBI Deposit Insurance reform notification (Apr 2026); RBI Feb 2026 regulatory statement on unified recovery agent guidelines.

Fixed Deposits

RBI MASTER DIRECTION

- Master Direction – Interest Rate on Deposits, 2026, eff. 1 Apr 2026

- **Single consolidated rulebook** — supersedes the 2016 deposit-interest directives, unifying rules across banks and NBFCs.
- **Minimum tenure floor: 7 days** — no FD can be booked below 7 days; shorter needs must go through a savings account.
- **Small-deposit relief** — FDs $\leq$ ₹10,000 can be withdrawn in full within 3 months with no interest forfeited; for larger sums, partial withdrawal up to ₹5 lakh or 50% (whichever is lower) is allowed in the same window without losing interest on the remainder.
- **Mandatory penalty disclosure** — premature-withdrawal penalty structure must be disclosed at the time of booking, not after.
- **Non-callable FD exceptions** — premature exit is still permitted for bankruptcy, court order, liquidation, or depositor's demise.
- **Maturity-alert mandate** — institutions must proactively notify depositors ahead of maturity to prevent silent auto-renewal.
- **TDS unchanged** — 10% TDS above ₹40,000 interest/year (₹50,000 for senior citizens) continues.

Sources: RBI Master Direction – Interest Rate on Deposits, 2026 (1 Apr 2026); RBI FD rule updates effective 1 Jan 2026.

NBFC vs Non-NBFC Classification

SCALE-BASED REGULATION

- SBR Amendment Directions effective: 1 Apr 2026

- **Four-layer structure** — Base, Middle, Upper, Top Layer, with regulatory intensity rising at each layer; replaced the older NBFC-ND / NBFC-ND-SI / NBFC-D labels from Oct 2022.
- **Base Layer** — non-deposit NBFCs with assets $<$ ₹1,000 crore; minimum capital (NOF) raised to ₹10 crore; 90-day NPA recognition applies uniformly.

- **Middle Layer** — all deposit-taking NBFCs (any size) + non-deposit NBFCs $\geq$ ₹1,000 crore; PCA framework applies here and above.
- **Upper Layer** — auto-qualifies at ₹1 lakh crore+ assets; also scored on leverage, interconnectedness, complexity; top-10 NBFCs by size always included.
- **New "Unregistered Type I" category (2026)** — entities with no public funds and no customer interface, assets $<$ ₹1,000 crore, are now exempt from RBI registration; voluntary deregistration window open till 30 Sep 2026.
- **Non-NBFC distinction** — an entity is only an NBFC if lending/investment is its *principal business* ($\geq 50\%$ of assets and income); operating companies financing only their own customers fall outside this net.

Sources: RBI (NBFC – SBR) Amendment Directions, 2026; RBI Governor remarks, Apr 2026, on the layer-framework revision.

Home Loans

RBI DIRECTIONS

- Pre-payment Charges Directions, 2025 – eff. 1 Jan 2026

- **No foreclosure charge on floating-rate home loans** — applies to all individual borrowers, with or without co-obligants, regardless of fund source.
- **Fixed-rate loans still chargeable** — lenders may levy up to $\sim 3\%$ penalty if disclosed upfront in the sanction letter and loan agreement.
- **LTV caps by ticket size** — up to 90% LTV for loans $\leq$ ₹30 lakh, 80% for ₹30–75 lakh, $\sim 75\%$ above that.
- **Repo-linked external benchmarking** — floating-rate home loans must reset at least quarterly against an external benchmark.
- **Free balance transfer** — floating-rate borrowers can shift lenders without foreclosure cost to chase a better rate.
- **Document return obligation** — original property documents must be returned promptly on full closure.

Sources: RBI (Pre-payment Charges on Loans) Directions, 2025, eff. 1 Jan 2026; RBI home loan LTV/benchmarking norms, 2026 update.

Car Loans

RBI DIRECTIONS

- Same Pre-payment Directions framework – eff. 1 Jan 2026

- **Floating-rate car loans** — foreclosure/prepayment charges banned, same individual-borrower protection as home loans.
- **Fixed-rate car loans** — penalty still permitted; this is the more common structure in auto lending today, so the practical benefit is narrower than for home loans.
- **Lock-in clauses are lender policy, not RBI mandate** — a lock-in can override the "no charge" benefit during its window.
- **Mandatory upfront disclosure** — penalty calculation method must appear in the Key Facts Statement.
- **No retrospective fee revival** — if a charge was waived once, it cannot be re-applied later on the same loan.

Sources: RBI (Pre-payment Charges on Loans) Directions, 2025; RBI circular, 2 Jul 2025, on REs' divergent pre-payment practices.

Two-Wheeler / Bike Loans

RBI DIRECTIONS

- Same Pre-payment Directions framework – eff. 1 Jan 2026

- **Floating-rate two-wheeler loans** — covered under the same individual-borrower foreclosure ban as cars and personal loans; most two-wheeler loans are fixed-rate, so coverage is the narrowest of the three vehicle categories.
- **Smaller-ticket, shorter-tenure profile** — typically 1–4 years, so prepayment penalty exposure (where it exists) is concentrated in the early months.

- **NBFC-heavy distribution channel** — a large share of two-wheeler financing runs through NBFCs, so the NBFC layer + fair-practice code is the more relevant control surface here.
- **Disclosure parity** — same KFS and sanction-letter disclosure requirement applies regardless of loan size.

Sources: RBI (Pre-payment Charges on Loans) Directions, 2025; RBI NBFC Scale-Based Regulation framework (financing-channel context).